INVESTMENT COMMITTEE MEMORANDUM

The Reserve at Oak Park

April 2, 2026

Prepared by 1404 Labs

1404

TECHNOLOGY DEPARTMENT AS A SERVICE

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Executive Summary

TOTAL COST	STABILIZED NOI	YIELD ON COST
$58.0M	**$3.9M**	**6.8%**
Total Development Cost	Annual	Stabilized

DEV SPREAD	LEVERED IRR	EQUITY MULTIPLE
185 bps	**18.5%**	**2.10x**
Over Market Cap	Base Case	Base Case

Investment Highlights

- 200-unit Class A multifamily development at $58M TDC ($290K/unit), 12% below submarket replacement cost of $330K/unit.
- 6.8% yield on cost represents 185 bps development spread over 4.95% market cap rate, exceeding the 150 bps minimum threshold.
- 18.5% levered IRR and 2.10x equity multiple in base case, with downside still clearing 12% hurdle.
- 2.1-mile radius shows 3.2% annual population growth with median household income of $78,500, supporting $1,850/unit rents.
- Submarket vacancy at 4.1% with only 180 competitive units delivering in the next 18 months.

RECOMMENDATION

APPROVE

Conditions: Execute permanent financing commitment at terms no less favorable than 5.40% fixed, 65% LTV; Obtain final site plan approval from Oak Park Planning Commission by May 15, 2026; Secure GMP contract from general contractor within 3% of current budget estimate

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Property Description

LOCATION	PROPERTY TYPE	SITE SIZE	TOTAL UNITS	TOTAL SF
400 Oak Park Boulevard, Oak Park, MI	Multifamily	4.8 acres	200	178,000 SF

CONSTRUCTION	STORIES	PARKING
Type V-A Wood Frame over Type I Concrete Podium	5	280 spaces

4.8-acre corner parcel at the intersection of Oak Park Boulevard and Greenfield Road, adjacent to the Ferndale city boundary. The site is currently a vacant commercial lot with all utilities available at the property line. Topography is flat with no floodplain encroachment.

Development Program

UNIT TYPE	COUNT	AVG SF	TARGET RENT	RENT/SF	% OF TOTAL
Studio	30	550	$1,450	$2.64	15%
1BR / 1BA	80	750	$1,750	$2.33	40%
2BR / 2BA	70	1,050	$2,150	$2.05	35%
3BR / 2BA	20	1,300	$2,650	$2.04	10%
Total / Weighted Avg	**200**	**880**	**$1,935**	**$2.25**	**100%**

Development Timeline

Q2 2026	Q3 2026	Q4 2026	Q2 2027	Q4 2027
Site Acquisition	Site Plan Approval	Groundbreaking	Podium Complete	Framing Complete

Q2 2028	Q1 2029
First Units Delivered	Stabilization (93%+)

Key Amenities

Resort-style pool with cabanas • 24-hour fitness center • Co-working lounge with conference rooms • Dog park and pet spa • Structured parking garage (1.4 spaces/unit) • Electric vehicle charging stations • Package lockers and concierge

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Market Overview

Submarket Demographics

SUBMARKET	MSA	POPULATION (3-MI)	POPULATION (5-MI)
Oak Park / Ferndale	Detroit-Warren-Dearborn, MI	142,000	385,000

5-YR POP GROWTH	MEDIAN HH INCOME	MEDIAN AGE	UNEMPLOYMENT
3.2%	$78,500	34.2	3.8%

SUBMARKET VACANCY	YOY RENT GROWTH
4.1%	4.2%

Major Employers

Beaumont Health (12,400 employees) • Lawrence Technological University • City of Southfield municipal complex • Comerica Bank regional office • Federal-Mogul corporate headquarters

Supply Pipeline

PROJECT	SIZE	STATUS	DELIVERY
The Foundry Ferndale	120 units	Under Construction	Q3 2027
9 Mile Station	60 units	Under Construction	Q1 2027
Greenfield Commons	85 units	Proposed	Q2 2028
Woodward Place	200 units	Proposed	Q4 2028

Absorption Trends

The Oak Park/Ferndale submarket absorbed 420 units in the trailing 12 months against 280 deliveries, resulting in positive net absorption of 140 units. This compares favorably to the 5-year average of 95 net units per year, driven by in-migration from younger professionals priced out of Royal Oak and Birmingham.

Market Outlook

Submarket fundamentals remain strong with 4.2% rent growth and declining vacancy. The 465 units in the pipeline (180 under construction, 285 proposed) represent 3.8% of existing inventory, well below the 5% threshold that historically triggers rent compression. We expect 2-3% annual rent growth through 2029.

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Market Overview (Continued)

Rent Comparable Properties

PROPERTY	DISTANCE	YEAR BUILT	UNITS	AVG RENT	RENT/SF	OCCUPANCY
The Albert at Ferndale	0.8 mi	2022	145	$1,820	$2.28	96%
Madison Heights Lofts	1.4 mi	2020	180	$1,680	$2.15	94%
Berkley Square	1.9 mi	2023	92	$1,920	$2.42	97%
Woodward Terrace	2.1 mi	2019	210	$1,590	$2.08	93%
Huntington on 9 Mile	1.1 mi	2021	168	$1,750	$2.22	95%
Royal Oak Gateway	2.5 mi	2024	225	$1,980	$2.48	98%
Comp Average				**$1,790**	**$2.27**	**96%**

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Business Plan

Development Strategy

The Reserve at Oak Park targets the underserved mid-luxury segment between downtown Ferndale's premium rents ($2,200+) and Oak Park's aging 1960s-era garden apartments ($1,100-1,400). By delivering Class A finishes at rents 8-12% below Ferndale's newest developments, the project captures renters seeking quality without the Ferndale premium. The 200-unit scale provides operational efficiency while the 5-story wood-over-podium construction keeps hard costs 15-20% below mid-rise steel alternatives.

Lease-Up Assumptions

Pre-leasing begins 4 months before first unit delivery, targeting 25-30 leases per month during the lease-up period. The 200-unit project is expected to reach 93% stabilized occupancy within 9 months of first delivery, based on comparable lease-up velocities at The Albert (28 units/month) and Berkley Square (24 units/month). Concession budget of $1,200/unit average during lease-up, declining to zero at stabilization.

Stabilization Timeline

Stabilization is projected for Q1 2029, approximately 9 months after first unit delivery. At stabilization, the property achieves 93% occupancy with average rent of $1,850/unit ($2.20/SF). Year 2 NOI of $3,944,000 represents a 6.8% yield on the $58M total development cost. Operating expense ratio targets 38% of effective gross income, consistent with peer properties in the submarket.

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Financial Analysis

SOURCES	AMOUNT	%
Sponsor Equity	$6.1M	10.5%
LP Equity	$14.2M	24.5%
Construction Loan	$37.7M	65.0%
Total Sources	**$58.0M**	**100.0%**

USES	AMOUNT	%
Land Acquisition	$5.8M	10.0%
Hard Costs	$38.4M	66.2%
Soft Costs	$6.4M	11.0%
Financing Costs	$4.1M	7.0%
Developer Fee	$1.7M	3.0%
Operating Reserves	$1.6M	2.8%
Total Uses	**$58.0M**	**100.0%**

Revenue & NOI Projection

	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Gross Revenue	$3.4M	$4.4M	$4.5M	$4.6M	$4.8M
Vacancy Loss	(684K)	(307K)	(316K)	(325K)	(334K)
Effective Revenue	$2.7M	$4.1M	$4.2M	$4.3M	$4.4M
Operating Expenses	(1.0M)	(1.5M)	(1.6M)	(1.6M)	(1.7M)
Net Operating Income	**$1.7M**	**$2.5M**	**$2.6M**	**$2.7M**	**$2.8M**

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Financial Analysis (Continued)

STABILIZED NOI	EXIT CAP RATE	STABILIZED VALUE	TOTAL EQUITY
$3.9M	**5.0%**	**$79.7M**	**$20.3M**

Return Metrics by Scenario

METRIC	DOWNSIDE	BASE CASE	UPSIDE
Levered IRR	12.2%	**18.5%**	22.5%
Equity Multiple	1.65x	**2.10x**	2.55x
Yield on Cost	5.8%	**6.8%**	7.8%
DSCR	1.22x	**1.45x**	1.68x

Debt Summary

CONSTRUCTION LOAN	CONSTRUCTION RATE	CONSTRUCTION LTC	PERMANENT LOAN
$37.7M	SOFR + 325 bps	65.0%	$37.7M
PERMANENT RATE	**PERMANENT LTV**	**TERM**	**AMORTIZATION**
5.4%	65.0%	10-year fixed	30-year

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Sensitivity Analysis

Levered IRR: Exit Cap Rate vs. Average Monthly Rent

EXIT CAP RATE \ AVG RENT/UNIT	$1,700	$1,775	$1,850	$1,925	$2,000
4.50%	16.5%	19.2%	21.8%	24.5%	27.2%
4.75%	14.2%	16.8%	19.5%	22.1%	24.8%
4.95%	**12.5%**	**15.2%**	**18.5%**	**20.5%**	**23.2%**
5.25%	9.8%	12.5%	15.2%	17.8%	20.5%
5.50%	7.5%	10.2%	12.8%	15.5%	18.2%

Levered IRR: Cost Overrun vs. Lease-Up Delay

COST OVERRUN \ LEASE-UP DELAY	0 MONTHS	3 MONTHS	6 MONTHS	9 MONTHS
0%	**18.5%**	**16.8%**	**15.2%**	**13.5%**
5%	16.2%	14.5%	12.8%	11.2%
10%	13.8%	12.2%	10.5%	8.8%
15%	11.5%	9.8%	8.2%	6.5%

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Risk Assessment

CATEGORY	RISK	LIKELIHOOD	IMPACT	MITIGATION
Market	Submarket vacancy increases above 6% due to 465-unit pipeline delivery, compressing rents 5-10%.	Medium	High	Staged delivery and aggressive pre-leasing program. Concession budget of $240K reserved. Downside scenario still clears 12% IRR.
Construction	Hard costs escalate 8-12% above budget due to tariff-driven material cost increases.	Medium	Medium	GMP contract locks 85% of costs. 7.5% hard cost contingency ($2.88M) in budget. Value engineering options identified for $1.2M in savings.
Construction	Construction timeline extends 3-6 months due to labor shortages or weather delays.	Medium	Medium	Podium construction during dry season. GC has 14 active projects in metro Detroit with established subcontractor relationships. Liquidated damages clause in GC contract.
Financing	Interest rates rise 100+ bps before permanent financing commitment, increasing debt service and compressing returns.	Low	High	Rate lock deposit on permanent financing at LOI stage. Construction loan has interest reserve for 24 months. DSCR still exceeds 1.22x in downside.
Regulatory	Planning commission delays or imposes conditions that increase soft costs or reduce density.	Low	Medium	Pre-application meeting completed with favorable feedback. Project conforms to Oak Park master plan density targets. Experienced local land use attorney engaged.

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Recommendation

RECOMMENDATION

APPROVE

Conditions for Approval

1. Execute permanent financing commitment at terms no less favorable than 5.40% fixed, 65% LTV
2. Obtain final site plan approval from Oak Park Planning Commission by May 15, 2026
3. Secure GMP contract from general contractor within 3% of current budget estimate

Next Steps

1. Execute purchase and sale agreement with 60-day due diligence period
2. Engage civil engineer for final site plan submission
3. Finalize construction loan term sheet with lender
4. Complete Phase I environmental assessment